CORPORATE DEVELOPMENT INVESTMENT COMMITTEE APPROVED DEFINITIONS AND CONTROL FRAMEWORK

Alder Ridge Mechanical | Effective for the 2026-06-30 close and FY27 planning cycle

Authority and version control

Use executed agreements and signed policies for definitions, controller-reviewed workpapers for current management assumptions, raw exports for their stated cutoff, and Vista ERP for posted Alder Ridge populations. Earlier workbooks and banker cases are retained for audit history only.

Required control principles

Keep posted, pro-forma, forecast, external-market, and transaction-target measures separately labeled. Preserve units and periods. Reconcile bridges and roll-forwards without plugs. Management preference does not override approval status, contractual definitions, or stated risk limits.

Redwood Controls quality-of-earnings normalization

Rebuild reported EBITDA from the twelve-month target P&L before considering adjustments.

Accept only diligence-supported, seller-period normalization items; buyer synergies and uncommitted future savings are rejected.

Rank remaining QoE risks by probability-weighted EBITDA impact after normalization.

BluePeak normalized working-capital peg

Define operating NWC as trade AR plus inventory less trade AP, accrued operating liabilities, and deferred revenue.

Exclude the two documented seasonal-close months from the median peg; do not average them back in.

The collar absorbs the first portion of a shortfall; only the excess reduces purchase price.

Northstar standalone DCF

Forecast revenue and EBIT explicitly for five years; unlevered FCF equals NOPAT plus D&A less capex and NWC investment.

Calculate WACC from CAPM equity cost and after-tax debt cost at the stated debt weight.

Use a Gordon-growth terminal value based on Year 5 FCF, discount it at Year 5, and subtract net debt for equity value.

Horizon acquisition accretion model

Calculate seller shares from equity consideration divided by issue price and include them in pro forma diluted shares.

GAAP EPS includes incremental amortization and year-specific integration expense; adjusted EPS excludes both but retains new-debt interest and foregone interest on cash consideration.

Apply tax after target EBIT, synergy, amortization, interest, and any GAAP integration expense, then compare pro forma EPS with buyer standalone EPS.

Summit acquisition synergy breakeven

Probability-weight only approved Year 2 cost initiatives; exclude the revenue-synergy cross-sell item and the unapproved pricing concept.

Solve EPS breakeven from buyer standalone EPS, pro forma shares, target after-tax earnings, financing cost, and pre-tax synergy.

Solve the constant annual pre-tax synergy required for the five-year equity cash flows to reach the IRR hurdle.

Evergreen acquisition sources and uses

Uses include equity purchase, target debt refinancing, transaction fees, and financing fees, less target cash delivered.

Buyer cash is the lower of the board cash-use cap and cash above the minimum retained balance; fill remaining uses with term loan, revolver, then seller note.

Pro forma funded debt includes opening buyer debt and every funded debt source, including the seller note.

Atlas acquisition earnout valuation

Probability-weight the mutually exclusive contractual payout scenarios; do not probability-weight the maximum separately.

Discount the expected payout for the full two-year settlement period at the earnout discount rate.

Probability of any payout excludes only the zero-payout scenario; sensitivity is based on fair-value change, not raw metric scale.

Service division divestiture carve-out

Rebuild reported segment EBITDA from the monthly carve-out P&L, then apply each standalone cost or elimination with its documented sign.

Apply the transaction multiple to standalone EBITDA, not reported segment EBITDA.

Net cash proceeds deduct debt-like items and the separately identified stranded-cost remediation.

Orion integration value-capture plan

Probability-weight each initiative separately and phase it linearly to its own full-run-rate month.

Net EBITDA benefit deducts the recurring baseline dis-synergy; integration cash cost remains a separate cash outflow.

Calculate payback and NPV from the 24-month phased monthly value-capture schedule, not run-rate totals.

Pioneer QoE and purchase-price bridge

Build adjusted EBITDA only from diligence-supported recurring normalizations; exclude buyer synergies and unsupported banker forecast uplifts.

The NWC peg is the median monthly AR plus inventory less AP over the approved lookback, not a revenue-day proxy.

Treat closing NWC above the peg as a dollar-for-dollar increase in equity consideration under the purchase-price convention.

Cash credit equals delivered cash above the minimum delivered balance. Seller-retained receivables are separate non-cash assets that receive zero credit; do not subtract them from cash. Include all identified funded-debt and debt-like items.

Extend the QoE and purchase-price bridge through locked-box leakage, permitted leakage, escrow, contingent consideration, and closing funds flow.

Unauthorized leakage reduces seller proceeds; permitted leakage is disclosed but does not adjust price. Earnout fair value is consideration but not closing cash, and escrow is withheld from cash paid at close.

Report total debt and debt-like items as funded debt plus all debt-like settlements. Total-consideration enterprise value equals adjusted equity consideration plus earnout fair value plus total debt and debt-like items less usable cash; use that same basis for the EV / adjusted EBITDA multiple.

Gross closing cash uses include direct seller cash, escrow, funded-debt payoff, debt-like settlements, and transaction expenses. Show usable target cash as a source, calculate the net buyer funding requirement, and include a formula-driven zero funds-flow check.

Risk-adjusted synergy phasing and returns

Probability-weight each synergy before applying annual phase-in and exclude cross-sell from the base under the IC policy.

Apply tax to EBITDA benefits but not to the separately documented one-time implementation cash costs. Deduct the full one-time costs from Year 1 risk-adjusted after-tax synergy cash flow while also reporting them in `one_time_cash_costs`.

Add year-three risk-adjusted recurring synergy value to standalone exit equity value at the approved exit multiple.

Calculate return metrics from equity cash flows, not enterprise-value uplift alone, and test the IC hurdle explicitly.

Build a separate IC downside using item-specific probability haircuts, a one-year delay for Back office, an additional integration cost, and a lower exit multiple.

Calculate the downside five-year equity cash-flow series, IRR, NPV, exit value, and first cumulative-payback year; do not reuse base-case return metrics.

Carve-out standalone, TSA, and stranded-cost analysis

Remove historical parent allocations and replace them with independently estimated standalone run-rate costs by function.

TSA fees use only the covered months, the standalone cost base, and the contractual markup; do not add a full-year duplicate cost.

Keep seller stranded costs separate from buyer economics and probability-weight only the documented buyer cost takeout.

Year-one cash flow replaces standalone costs with TSA fees during covered months, applies internal run-rate cost only after exit, and deducts one-time separation cash costs.

Keep the original Year-1 TSA-fee output capped at twelve months. For the separate readiness analysis, model each TSA through the earlier of its full contractual term and its readiness month, including contractual terms beyond month 12, and charge the exit fee only when readiness ends the TSA before that full contractual term.

Report readiness-based TSA fees and savings versus the full contractual TSA maximum across the complete transition, not versus the Year-1 TSA amount. Phase seller stranded-cost remediation separately.

For buyer separation-cash recovery timing, model TSA savings only in the months actually avoided, pay each early-exit fee in its exit month, and spread the annual risk-adjusted buyer cost takeout evenly by month; do not annualize one-time TSA savings.

Transaction-structure accretion and leverage

Evaluate each documented funding mix independently; earnout fair value is purchase consideration but not closing cash funding.

Deduct after-tax new-debt and seller-note interest plus after-tax foregone cash yield from combined earnings.

Issue shares only for stated stock consideration and include them in the pro forma diluted denominator.

A structure is actionable only if both minimum cash and closing leverage pass; recommend the most accretive feasible structure.

The recommended consideration check is total cash, debt, stock, earnout fair value, and seller-note consideration minus the stated equity purchase price; report zero when the structure balances.

Add structure-specific underwriting fees, existing funded debt, Year-1 amortization, and a downside target-income and EBITDA case before determining feasibility.

A structure must pass closing cash, base leverage, end-of-Year-1 downside leverage, and Year-1 debt-service coverage. Use closing debt for base leverage, but reduce new debt by the scheduled Year-1 principal amortization before dividing by Year-1 downside covenant EBITDA. Report the recommended structure's all-in fees, downside EPS, downside leverage, and DSCR.

Valuation triangulation and bid ceiling

Use only comparability-approved peers and precedents, calculate medians, and keep trading revenue and EBITDA indications separate.

Apply the four approved method weights to enterprise values; do not blend multiples before applying target metrics.

Bridge enterprise to equity with target debt-like items and usable cash only.

Derive the bid ceiling from the five-year equity IRR hurdle, then convert it back to an enterprise-value ceiling on the same bridge.

Rebuild the DCF indication from annual unlevered cash flows, WACC, terminal growth, and the signed execution-risk deduction. The detailed DCF schedule controls over the carried headline if they differ.

Use the rebuilt DCF in the weighted valuation, rebridge enterprise to equity and bid-ceiling headroom, and report the carried-value reconciliation difference explicitly.

Pioneer financing and downside IC memo

Fund purchase and transaction uses plus actual-funded financing fees in the approved source priority after the buyer cash contribution, without exceeding commitments; financing fees are separate closing uses and are not already included in the stated purchase-and-transaction-use amount.

Calculate fees, interest, and principal on actual funded amounts rather than headline commitments.

Gross leverage includes Vista ERP-posted existing Alder Ridge funded debt plus every acquisition source actually funded. Debt-service coverage uses the documented acquisition interest and principal only because no current-service schedule for existing notes is supplied; disclose that limitation.

Test leverage, debt-service coverage, and minimum cash independently under both Base and Downside cases. Because financing fees are funded in the sources-and-uses waterfall, do not deduct them from ending cash a second time.

The IC recommendation must identify any funding gap or downside covenant/liquidity failure and must not rely on uncommitted financing.

Add the signed interest-rate sensitivity, Year-2 amortization, integration working-capital burn, and revolver backstop to the IC memorandum.

For both Year 1 and Year 2, the annual amortization percent is the scheduled annual installment measured against each facility's original actual-funded closing principal, not a declining-balance percentage; cap each installment at the facility's remaining principal.

Roll the stressed Downside cash case continuously: Year-2 opening cash equals stressed Downside Year-1 ending cash after the integration reserve, and Year-2 stressed interest is calculated on each facility's opening Year-2 principal after Year-1 scheduled amortization.

Show stressed interest, stressed DSCR, Year-2 ending debt, minimum liquidity after the backstop, and remaining revolver commitment; the recommendation must condition approval on every funding and covenant gate.

System reconciliation schedule

Analysis	Accounting-system reconciliation
Redwood Controls quality-of-earnings normalization	No Alder Ridge ledger tie required
BluePeak normalized working-capital peg	No Alder Ridge ledger tie required
Northstar standalone DCF	No Alder Ridge ledger tie required
Horizon acquisition accretion model	No Alder Ridge ledger tie required
Summit acquisition synergy breakeven	No Alder Ridge ledger tie required
Evergreen acquisition sources and uses	Vista ERP cash detail as of 2026-06-30; unrestricted company cash accounts; Vista ERP balance sheet as of 2026-06-30; accounts 2200, 2210, and 2300
Atlas acquisition earnout valuation	No Alder Ridge ledger tie required
Service division divestiture carve-out	No Alder Ridge ledger tie required
Orion integration value-capture plan	No Alder Ridge ledger tie required
Pioneer QoE and purchase-price bridge	No Alder Ridge ledger tie required
Risk-adjusted synergy phasing and returns	No Alder Ridge ledger tie required
Carve-out standalone, TSA, and stranded-cost analysis	No Alder Ridge ledger tie required
Transaction-structure accretion and leverage	No Alder Ridge ledger tie required
Valuation triangulation and bid ceiling	No Alder Ridge ledger tie required
Pioneer financing and downside IC memo	Vista ERP balance sheet as of 2026-06-30; accounts 2200, 2210, and 2300